35% Increase in capital expenditure compared to the budgeted expenditure of last financial year

SPENDING PRIORITIES

MINISTRY	BUDGET ESTIMATE 2021-2022	REVISED ESTIMATE 2021-2022	BUDGET ESTIMATE 2022-2023
MINISTRY OF HOUSING & URBAN AFFAIRS	28,821.99 25,759.01 54,581	47,893.76 25,956.5 73,850.26	49,208.45 27,341.01 76,549.46
MINISTRY OF PORTS, SHIPPING & WATERWAYS	1,519.35 183 1,702.35	976.57 608.8 1,585.37	1,135.19 574.31 1,709.5
MINISTRY OF RAILWAYS	2,954.64 1,07,100 1,10,054.64	2,956.12 1,17,100 1,20,056.12	3,267.13 1,37,100 1,40,367.13
MINISTRY OF ROAD TRANSPORT & HIGHWAYS	9,870.89 1,08,230.11 1,18,101	9,898.44 1,21,250.63 1,31,149.07	11,363.71 1,87,744 1,99,107.71
MINISTRY OF POWER	13,757.03 1,564.97 15,322	14,236.38 1,085.62 15,322	16,061.63 13.11 16,074.74

● Revenue expenditure ● Capital expenditure ● Total (Rs cr) *Source: Finance Ministry*

Graphics by TANMOY CHAKRABORTY

ing misery to consumers. On the brighter side, the economy was lately showing signs of recovery, though somewhat stymied by the third Covid wave caused by the Omicron variant. The economy grew 8.4 per cent in the second quarter of the current fiscal but was nowhere near its potential for growth.

Sitharaman decided that rather than dispense doles, she would pump-prime the economy by giving a massive boost to public spending. She increased the government's capital expenditure (capex) by a whopping 35 per cent—from the budgeted expenditure of Rs 5.54 lakh crore in 2021-22 to Rs 7.5 lakh crore in 2022-23, which comes to 2.9 per cent of the GDP. The figure includes Rs 1 lakh crore worth of interest-free loans to states for projects they may want to take up. Sitharaman put much of the capex on infrastructure in sectors she described as the 'seven engines of growth': roads, railways, airports, ports, mass transport, waterways, and logistics. "All seven engines will pull forward the economy in unison," she said. These will be complemented by energy transmission, IT communication, bulk water and sewerage, as well as social infrastructure.

SITHARAMAN HAS FOCUSED MUCH OF THE CAPEX ON THE 'SEVEN ENGINES OF GROWTH': ROADS, RAILWAYS, AIRPORTS, PORTS, MASS TRANSPORT, WATERWAYS AND LOGISTICS